

Multiple Choice (10 marks)

1. A 98moviecameracanbepurchasedontheinstallmentplanfor10
2. 50%
3. 10%
4. 29.9%
5. 33.3%
6. 36.8%

What is the premium on a 60,000policyiftherateis.2065 per 100?Howmuchwouldtheinsurancecompanypay

- (a) 124and60,000
- (b) 120and60,000
- (c) 130and61,000
- (d) 118and59,000
- (e) 123and61,000

Fred Lowes is a typewriter salesman. He receives \$15 for each typewriter sold. If he sells 12 typewriters what is his commission?

- (a) \$210
- (b) \$200
- (c) \$225
- (d) \$175
- (e) \$195

How much must be invested in 1,0005

- \$35,000
- \$55,000
- \$45,225
- \$40,000
- \$65,000

_____ are the obligations of workers towards their employer, based on individual contracts and wider employment laws.

- (a) Employer obligations
- (b) Employment laws
- (c) Employer benefits
- (d) Employer duties
- (e) Employee rights

True / False (10 marks)

Answer True or False

6. True or False: The effective yield of a 1,000 bond purchased for 960 with a 6% nominal interest rate is 9.6%.
7. True or False: Mr. Hammer's propensity to save last year was 3%, which is derived from his disposable income and total expenditures.
8. True or False: Selling 5500 telescopic lenses will yield the highest receipts for McguillPhoto according to their revenue estimation.
9. True or False: The 7(1/2) ounce can of tuna fish is the better buy, offering a lower cost per ounce compared to the 8(1/4) ounce can.
10. True or False: Immeasurability in services means that once an experience starts, the capacity cannot be sold or recovered if not utilized.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the process of calculating the original invoice amount when a payment of 416.50 is made after applying a cash discount of 8.50. Explain the implications of cash discounts in business transactions.
12. Analyze the pricing strategy of Weiser Inc. by calculating the list price and net price of dinette tables after applying a discount of \$21.90 at a rate of 12.5%. Discuss the implications of these prices in a competitive market.

End of Paper